Nimbus Retail Ltd
Annual Report FY2023

Sector: Retail. All figures in US dollars. Fiscal year ends 31 March 2023. This is a synthetic document created for an educational capstone project.

Chairman's Letter to Shareholders

Dear shareholders, FY2023 was a year of disciplined execution for Nimbus Retail Ltd. Revenue for FY2023 was $2,636.0 million, up 9.8% from $2,400.0 million in FY2022. Net income for FY2023 was $225.8 million and earnings per share were $2.22. The Board has recommended a dividend of $0.89 per share.

Our strategy for the coming year focuses on expanding the online marketplace, opening 40 small-format stores and investing in supply-chain automation. We remain committed to transparent reporting, prudent capital allocation and sustainable long-term value creation.

Management Discussion and Analysis

Gross profit for FY2023 was $891.8 million, giving a gross margin of 33.8%. Operating expenses were $519.6 million and operating income was $372.1 million. EBITDA for FY2023 was $504.7 million.

Net income improved from $223.5 million in FY2022 to $225.8 million in FY2023, a change of 1.0%. Interest expense was $71.0 million, reflecting the level of long-term debt of $1,062.9 million.

Segment performance: Grocery contributed $628.7 million; Apparel contributed $1,047.8 million; Online Marketplace contributed $959.5 million.

Liquidity and Capital Resources

Cash and cash equivalents at year end were $365.2 million. Net cash from operating activities was $350.9 million and capital expenditure was $235.3 million, resulting in free cash flow of $115.6 million. Total current assets were $865.3 million against total current liabilities of $495.4 million.

Total assets were $3,321.0 million, total liabilities were $1,662.3 million and shareholders' equity was $1,658.7 million.

Principal Risks and Uncertainties

- Rising logistics and fuel costs could compress gross margins.
- Intense price competition from discount and online-only retailers.
- Consumer demand is sensitive to inflation and household disposable income.
- Dependence on third-party suppliers for private-label products.

Outlook

For FY2024, management expects revenue growth of 6% to 11%, supported by expanding the online marketplace, opening 40 small-format stores and investing in supply-chain automation. Guidance assumes stable macroeconomic conditions.

Consolidated Income Statement

Line item ($ million)	FY2023	FY2022
Revenue	2,636.0	2,400.0
Cost of revenue	1,744.2	1,606.4
Gross profit	891.8	793.6
Operating expenses	519.6	439.4
Operating income (EBIT)	372.1	354.1
Depreciation & amortisation	132.6	138.6
EBITDA	504.7	492.7
Interest expense	71.0	56.1
Tax expense	75.3	74.5
Net income	225.8	223.5

Consolidated Balance Sheet

Line item ($ million)	FY2023	FY2022
Cash and cash equivalents	365.2	349.2
Total current assets	865.3	768.4
Total assets	3,321.0	3,151.7
Total current liabilities	495.4	442.0
Long-term debt	1,062.9	1,113.8
Total liabilities	1,662.3	1,628.5
Shareholders' equity	1,658.7	1,523.2

Consolidated Cash Flow Statement

Line item ($ million)	FY2023	FY2022
Net cash from operating activities	350.9	400.2
Capital expenditure	235.3	162.7
Free cash flow	115.6	237.5